OFFERING MEMORANDUM

Elmhurst Commons | Boise, ID

Property	Elmhurst Commons
Location	2711 Lakeview Way, Boise, ID 15858
Property Type	Multifamily
Size	380 apartment homes
Year Built	2010
Offering	Unpriced - Offers Due April 28, 2023

Business Plan Progress

Projected levered IRR is 4.3% with an equity multiple of 1.45x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 6.3% annually with renewal retention above 89.5%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 4.3% with an equity multiple of 1.29x over the hold period.

Demographics and Employment

Rent growth in the submarket has averaged 5.5% annually over the past 6 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The Boise Multifamily market has experienced absorption of 1500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Elmhurst Commons is located in Boise, ID, a market that has recorded 11.9% population growth over the last five years.

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Market vacancy for comparable Multifamily product stands at 8.0%, down from 5.9% two years ago. Resident turnover has averaged 4.5% annually with renewal retention above 90.1%. Investor demand for Multifamily assets in Boise remains strong with recent trades at capitalization rates between 7.04% and 7.04%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Business Plan Progress

Projected levered IRR is 13.9% with an equity multiple of 1.42x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

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